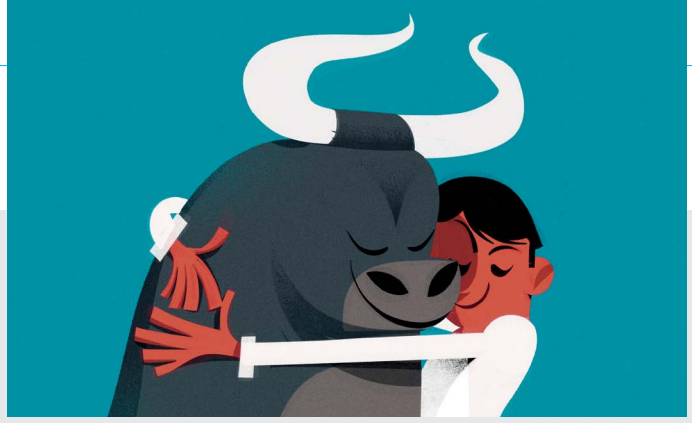


Illustration by SIDDHANT JUMDE

MARKET LEXICON

As an investor, it is a tough call to know which phase of the stock market you are in. The psychological toll of watching the favourite stock market index tumble day after day for weeks can result in sleepless nights, often leading to poor decision-making. For new investors and those who haven't experienced market cycles, a drop in the markets for even a few days can cause panic, forcing many to sell their holdings.

However, most market participants are optimists who believe in the eternal rise of stock markets. They are not wrong in their belief because in the very long run of over a decade or two, the stock markets have only gone up.

MOST MARKET PARTICIPANTS ARE OPTIMISTS WHO BELIEVE IN THE ETERNAL RISE OF STOCK MARKETS

↘ **Pullback:** A market fall of 5–10 per cent in a very short period is a pullback. It could be a dip from a recent high during an ongoing bull market while upward momentum continues or there is a normal adjustment to a market cycle. There have been years when the markets have pulled back on many occasions in the same calendar year.

↘ **Correction:** When a fall or drop of 10–20 per cent over a few months occurs, it is a correction phase. This phase, unlike the pullback, also experiences higher volatility. Corrections cause fear and panic, with many investors panicking and selling their holdings. Market corrections often last up to six months and are frequently accompanied by adverse news on several factors that impact market movements. Corrections are often seen as ideal times to buy high-value stocks at discounted prices but require knowledge and ability to spot such stocks with the right fundamentals.

↘ **Bear markets:** A market is said to be in a bear phase after a drop of over 20 per cent which lasts for a significant number of months. In a bear market, investor confidence has been shattered and many investors will sell their stocks for fear of further losses. Bear markets can be vicious, wiping out investor wealth and lasting sometimes for a few years. ■

24 years of NIFTY returns

Above 30%	2003, 2005, 2006, 2007, 2009, 2014
25% to 30%	2012, 2017
15% to 25%	2010, 2021, 2023
10% to 15%	2004, 2019, 2020
Up to 10%	2002, 2013, 2016, 2018, 2022, 2024
Up to -5%	2015
-5% to -20%	2001
Below -20%	2008, 2011

react to every stock market indicator that comes up. Stay calm, step back and focus on the impact of news and events on your investments before taking the next steps.

↘ **Opportunities:** Market falls do provide buying opportunities, especially when the fall impacts even quality stocks because of the herd mentality. If a quality stock that you have researched well is available at a cheap price, capitalise on the temporary dip to add to your holdings.

A fall is also a good time to assess your holdings, asset allocation and risk tolerance. While market falls do provide an investment opportunity, they also offer a chance to exit some of your investments that may have a genuine reason to sell. Explore the financial stage you are in and the financial goals towards which you are investing during market falls to decide on your moves. Having a long-term perspective does help in managing volatility as well as reacting to short-term market falls.

Recognising market cycles is not an easy task for even the best investors. John Templeton observed that "Bull markets are born on pessimism, grow on scepticism, mature on optimism and die on euphoria." Understanding these stages can provide valuable context for making investment decisions. Eventually, market corrections and bear markets are inevitable parts of the investing landscape. By understanding their nature and implementing sound strategies, investors can navigate these challenging periods more effectively. The key to long-term success lies not in avoiding market downturns, but in learning how to respond to them. ■